



Gavin Newsom, Governor
State of California
Health and Human Services Agency
DEPARTMENT OF MANAGED HEALTH CARE
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March 12, 2026

VIA ELECTRONIC MAIL

Lea Anna Tonkin
Cigna HealthCare of California, Inc.
400 N. Brand Blvd. Suite 400.
Glendale, CA 91203

Re: Proposed Contract Termination with Lakewood IPA, Inc..
Block Transfer Filing No. 2026-PROV-97
Filed on March 10, 2026

Dear Ms. Tonkin:

The Department of Managed Health Care (Department) is reviewing the information in the above-referenced Block Transfer Filing (Filing) submitted by **Cigna HealthCare of California, Inc.** (Plan) for compliance with the requirements of the Knox-Keene Health Care Service Plan Act of 1975, as amended (Cal. Health & Safety Code § 1340 *et seq.*) and the regulations promulgated thereunder (Cal. Code Regs., Tit. 28, § 1000 *et seq.*).

In the event of contract termination, the Filing proposes to remove **Lakewood IPA, Inc.** (Terminating Provider Group) from the Plan's provider network. The effective date of contract termination between the Terminating Provider Group and the Plan (Termination Date) is currently **July 1, 2026**.

Please review the following comments and feel free to contact me if you would like to discuss any of the issues before filing the Plan's response.

1. The Plan identifies the terminating entity in the enrollee notice as 'PHS Premier Health Services IPA Network.' However, the Plan's explanation acknowledges the group was previously known as 'Lakewood IPA' and was recently acquired by UC Irvine Health. Please clarify if 'Lakewood IPA' is the name currently displayed on affected enrollees' ID cards or in the most recent provider directory. If so, the Plan must revise the notice to include the 'dba' or former name (e.g., 'PHS Premier Health Services IPA Network, formerly known as Lakewood IPA') to ensure enrollees clearly identify their terminating provider. Please update the enrollee notice accordingly, and resubmit to the Department for its review.

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2. Please provide the following for each proposed Receiving Provider Group:

	Contract Term. Date	Contract Status	Notice to Term?
Regal Medical Group (RBO)			
Affiliated Doctors of Orange County Medical Group, Inc. (RBO)			
Allied Physicians of California, A Professional Medical Corp (RBO)			
AMVI Medical Group, Inc. (RBO)			
Citrus Valley Physicians Group, A Medical Corporation (RBO)			
Family Choice Medical Group, Inc. (RBO)			
Lakeside Medical Organization, A Medical Group, Inc. (RBO)			
PIH Health Physicians (RBO)			
Professional Care Medical Group, Inc. (RBO)			
Prospect Medical Group, Inc. (RBO)			
Axminster Medical Group, Inc. (RBO)			
Providence Medical Foundation (RBO)			

Note: In the case of an evergreen contract with any proposed Receiving Provider Group, please provide the Department with:

- a. Contract renewal date(s), or
 - b. If there is no specified renewal date(s), please state whether a notice of termination has been sent or received, and
 - c. Confirm whether each evergreen contract will automatically renew.
3. The Plan indicates in the Receiving Groups section of its Filing that Receiving Group Allied Physicians of California, A Professional Medical Corp answered “Yes” to a Corrective Action Plan (CAP). Please discuss the impact of this CAP regarding the proposed Block Transfer.
4. The Plan indicates in the Receiving Groups section of its Filing that Receiving Group **Family Choice Medical Group, Inc.** answered “Yes” to a Corrective Action Plan (CAP). Please discuss the impact of this CAP regarding the proposed Block Transfer.

5. The Plan indicates in the Receiving Groups section of its Filing that Receiving Group **PIH Health Physicians**. answered “Yes” to a Corrective Action Plan (CAP). Please discuss the impact of this CAP regarding the proposed Block Transfer.
6. The Plan indicates in the Receiving Groups section of its Filing that Receiving Group **Axminster Medical Group, Inc.** answered “Yes” to a Corrective Action Plan (CAP). Please discuss the impact of this CAP regarding the proposed Block Transfer.
7. The Plan indicates in the Receiving Groups section of its Filing that Receiving Group **Providence Medical Foundation**. answered “Yes” to a Corrective Action Plan (CAP). Please discuss the impact of this CAP regarding the proposed Block Transfer.
8. On the Block Transfer Filing form, the Plan reports that **Regal Medical Group** will be receiving 137 enrollees. However, on the Confirmation of Capacity document attached by the Plan, the document only confirms up to 45 enrollees. Please provide a Confirmation of Capacity for **Regal Medical Group** that confirms the group's capacity to receive all 137 enrollees being reassigned. If the Plan reassigns these members to another Receiving Provider Group, the Confirmation of Capacity needs to confirm the additional enrollees to be received by that Receiving Provider Group(s).
9. On the Block Transfer Filing form, the Plan reports that **Affiliated Doctors of Orange County Medical Group, Inc** will be receiving 115 enrollees. However, on the Confirmation of Capacity document attached by the Plan, the document only confirms up to 103 enrollees. Please provide a Confirmation of Capacity for **Affiliated Doctors of Orange County Medical Group, Inc** that confirms the group's capacity to receive all 115 enrollees being reassigned. If the Plan reassigns these members to another Receiving Provider Group, the Confirmation of Capacity needs to confirm the additional enrollees to be received by that Receiving Provider Group(s).
10. On the Block Transfer Filing form, the Plan reports that **Allied Physicians of California, A Professional Medical Corp** will be receiving 18 enrollees. However, on the Confirmation of Capacity document attached by the Plan, the document only confirms up to 11 enrollees. Please provide a Confirmation of Capacity for **Allied Physicians of California, A Professional Medical Corp** that confirms the group's capacity to receive all 18 enrollees being reassigned. If the Plan reassigns these members to another Receiving Provider Group, the Confirmation of Capacity needs to confirm the additional enrollees to be received by that Receiving Provider Group(s).

11. It appears that the Plan included a reassignment chart in lieu of a Confirmation of Capacity document for **Professional Care Medical Group, Inc.** Please provide a Confirmation of Capacity document for **Professional Care Medical Group, Inc.** to show that this medical group can receive 119 enrollees.
12. On the Block Transfer Filing form, the Plan reports that **Prospect Medical Group, Inc.** will be receiving 72 enrollees. However, on the Confirmation of Capacity document attached by the Plan, the document only confirms up to 5 enrollees:

Group Name	Member count
ALLIED PACIFIC OF CALIFORNIA	11
AMVI MEDICAL GROUP	2
PROSPECT MEDICAL GROUP INC	5
PROSPECT MG LOS ANGELES, INC.	21
PROSPECT NWOC MEDICAL GROUP INC	10
PROSPECT PROFESSIONAL CARE MEDICAL GROUP INC	106
PROSPECT SOCAL	2

Please provide a Confirmation of Capacity for that **Prospect Medical Group, Inc** that confirms the group's capacity to receive all 72 enrollees being reassigned, or confirm which line items represent the count for Prospect Medical Group, Inc. If the Plan reassigns these members to another Receiving Provider Group, the Confirmation of Capacity needs to confirm the additional enrollees to be received by that Receiving Provider Group(s).

13. The Plan included six reassignment charts to include Prospect Medical Group, Inc., Professional Care Medical Group, Inc., Regal Medical Group, Affiliated Doctors of Orange County Medical Group, Inc., Allied Physicians of California, A Professional Medical Corp, and Family Choice Medical Group, Inc. However, the reassignment charts for AMVI Medical Group, Inc., Citrus Valley Physicians Group, A Medical Corporation, Lakeside Medical Organization, A Medical Group, Inc., PIH Health Physicians, Axminster Medical Group, Inc., and Providence Medical Foundation were not included. Please provide the missing reassignment charts for the Department's review.

14. Please provide the following information:

Name of Receiving Medical Groups:	Number of Reassigned Enrollees Reported	Number of Enrollees to New PCP	Number of Enrollees Retain PCP
Regal Medical Group (RBO)	137		
Affiliated Doctors of Orange County Medical Group, Inc. (RBO)	115		

Allied Physicians of California, A Professional Medical Corp (RBO)	18		
AMVI Medical Group, Inc. (RBO)	2		
Citrus Valley Physicians Group, A Medical Corporation (RBO)	1		
Family Choice Medical Group, Inc. (RBO)	10		
Lakeside Medical Organization, A Medical Group, Inc. (RBO)	2		
PIH Health Physicians (RBO)	5		
Professional Care Medical Group, Inc. (RBO)	119		
Prospect Medical Group, Inc. (RBO)	72		
Axminster Medical Group, Inc. (RBO)	2		
Providence Medical Foundation (RBO)	31		
Total	514		

15. The Plan states that it “does not have direct visibility into the number of affected enrollees who have been authorized or approved to receive procedures or services from providers within the Terminating Medical Group within 180 days of the termination date. However, the Plan has requested this information from the Terminating Medical Group and is currently awaiting their response.” Please provide an update as to when you expect to receive this information.

16. Please indicate whether the Plan intends to send an Enrollee Notice to all Plan enrollees assigned to **Lakewood IPA, Inc.**

17. Please affirm that the Primary Care Providers for the Plan's Narrow Networks meet the Knox-Keene Act's geographic access standards and/or Department approved alternative access standards.

Please submit the Plan's response by **March 19, 2026**, via the Block Transfer portal as a “Response to Comment Letter.”

Please contact me if there are any questions regarding the above.

Sincerely,

A handwritten signature in black ink, appearing to read "Stacie Litovchenko". The signature is fluid and cursive, with the first name "Stacie" being more prominent than the last name "Litovchenko".

Stacie Litovchenko
Analyst II
Office of Plan Monitoring